

Reasons to be Humble

WALL STREET SUFFERS from a scarcity of humility.

Good money management requires a certain humble quality that is quite rare in the field of finance. I hope at this point in the book, all of the bad behaviors and poor outcomes we have discussed have made that clear.

We know less than we think we do, and we act recklessly despite our ignorance. Those who pretend otherwise are usually selling something.

We do not know what the future will bring. We have only a rough understanding of the past (which occasionally can be useful for extrapolating forward) and little understanding of the present. We assume the future will look like the past, which it often does not.

You must ask yourself, “What don’t I know?” Make that self-inquiry frequently.

I do not know what the economy will be like next year; I have no idea what inflation, unemployment, mortgage rates, consumer spending, or GDP will be. I cannot tell you how high or low the markets will be or where the Federal Reserve will set interest rates. I don’t know what the endgame is for the Russian invasion of Ukraine, what the next tragedy in the Middle East will be. I have no idea what the next geopolitical blow-up will be (or how it will resolve). I have no idea what corporate profits are going to be next quarter, much less next year. I don’t know what the iPhone 20 will be like or when self-driving taxis finally arrive, to say nothing of the flying cars I have been waiting for since childhood.

Recognizing that you don’t know these things confers an enormous advantage over those people who *imagine* they do know—and then act on that misbelief.

By now, you are familiar with many of the ways your investments can get derailed by the workings of your brain.